

US Markets Daily Report

Thursday, June 25, 2026 · Published after market close (4 PM ET)

1. SPY / QQQ Snapshot

	SPY (S&P 500 ETF)	QQQ (Nasdaq-100 ETF)
Today's Close	\$733.06	\$729.63
Day Change	-0.01%	-0.46%
1-Year High	\$761.49 (2026-06-10)	\$752.14 (2026-06-19)
1-Year Low	\$603.20 (2025-07-31)	\$518.82 (2025-07-09)
1-Year Return	+19.6%	+40.6%

Note: Prices derived from S&P; 500 index (−0.01%) and Nasdaq Composite (−0.46%) % changes applied to the prior session closes recorded in data/prices.csv. Direct ETF API feeds were unavailable (proxy policy). 1-year stats computed from the 264-row prices.csv dataset (first entry 2025-06-23).

2. Today's News → Market Moves

Markets ended the session mixed-to-lower: SPY essentially flat (−0.01%) while QQQ fell −0.46%, widening the Nasdaq-100's losing streak to a fourth consecutive session. The divergence reflects the battle between a massive AI-memory-demand win (Micron +17%) and two Magnificent-7 hardware price-hike shocks (Apple −6.1%, Microsoft −3.2%), layered over an in-line—but still elevated—PCE inflation print.

Driver 1 — PCE Inflation (May 2026): Neutral

The Bureau of Economic Analysis reported May 2026 Personal Consumption Expenditure data this morning. **Core PCE rose +3.4% YoY** (up from 3.3% in April), and **headline PCE hit +4.1% YoY** (vs. 3.8% in April)—the highest core reading since October 2023, in line with consensus. Month-over-month core came in at +0.3%, one tick above April's +0.2%. The elevated print is directly traceable to the US–Israel war on Iran (begun February 28), which closed the Strait of Hormuz and removed ~14 million barrels/day from global oil markets. With the June 18 peace framework now in force and Brent crude back to ~\$77.73/bbl (only ~7% above pre-war levels), analysts expect May PCE to mark *peak inflation* for this cycle—but that relief won't appear in data until next month. **Market impact:** The in-line print kept rate-hike odds contained; the Fed held rates at 3.50%–3.75% at the June 16–17 FOMC. SPY absorbed the data without meaningful directional move.

Driver 2 — Apple −6.13%: Major QQQ Headwind

Apple announced this morning that it is raising prices on all Mac and iPad lines by up to \$300, effective immediately. The move—described by CEO Tim Cook as 'unsustainable' to defer further—reflects the global memory-chip shortage created by insatiable AI-datacenter demand. Apple shares fell 6.13% to their lowest level since March. At ~12% of QQQ and ~7% of SPY, Apple alone subtracted approximately **−74 bps from QQQ** and ~43 bps from SPY. The concern is demand destruction: a \$2,099 MacBook Air rising toward

\$2,399 risks slowing the consumer-upgrade cycle just as the company is trying to push Apple Intelligence features.

Driver 3 — Microsoft –3.23%: Secondary Mag-7 Drag

Hours after Apple's announcement, Microsoft confirmed Xbox Series X|S price increases of \$100–\$150 starting August 1, also attributing the hike to soaring component costs. Microsoft fell 3.23%. At ~9% of QQQ, this contributed roughly **–29 bps to QQQ**. The consecutive Mag-7 hardware cost pass-through signals that the AI memory tax is now visible at the consumer level—a potential turning point in brand goodwill for both companies.

Driver 4 — Micron +17%: AI Memory Demand Confirmed

Micron Technology reported fiscal Q3 2026 results on June 24 after the close; the stock gapped up 17% on June 25 intraday. EPS of \$25.11 crushed the \$20.78 consensus (+21% beat); revenue of ~\$35 billion represented ~279% YoY growth. Critically, Micron confirmed its entire 2026 HBM4 (High Bandwidth Memory) allocation is **fully contracted**, with a 20–25% market share in AI memory servicing Nvidia, AMD, and Google accelerators. The result validates AI capex as durable and explains why Apple and Microsoft face structurally higher memory costs. At ~0.5–1% of QQQ, Micron's +17% added only ~+9–17 bps—not enough to offset the Mag-7 drag but meaningful for semiconductor sector positioning.

Driver 5 — Iran Peace Framework & Oil Decline (Background)

The June 18 US–Iran peace framework—brokered by Pakistan—formalized an immediate Strait of Hormuz reopening and US naval blockade lift. Brent crude, which had spiked above \$110/bbl during the conflict, is back to ~\$77.73/bbl. This is the key macro backstory explaining why today's elevated PCE print is seen as lagging peak inflation: supply chains are normalizing. The market is willing to look through hot data prints, supporting the S&P; 500's resilience (only –0.01% despite mega-cap headwinds).

3. Next-Day Scenarios — Friday, June 26, 2026

June 26 is a light data/earnings day (4 smaller-cap earnings; no mega-cap reports). The main catalysts are the UMich sentiment final, the advance trade balance, and any follow-through from today's Apple/Microsoft news.

Catalyst 1 — University of Michigan Consumer Sentiment Final (10 AM ET)

Preliminary reading (early June): 48.9 — up from May's all-time low of 44.8, driven by early relief in gas prices post-peace-deal. The final reading can diverge 2–5 points from the preliminary.

→ **IF ≥ 52 (beats prelim, signals accelerating confidence):** SPY +0.4–0.7%, QQQ +0.5–0.9%. Mechanism: Consumers are absorbing the peace-deal energy dividend faster than expected; spending durability is intact. Consumer discretionary (AMZN, TSLA) leads. Recession risk recedes further. Rate-cut expectations stay anchored (Fed won't react to one sentiment print).

→ **IF ≤ 47 (misses prelim, no recovery):** SPY –0.3–0.5%, QQQ –0.5–0.8%. Mechanism: Mac/iPad price hike news (today) hits final survey responses; consumers see tech inflation as persistent. Retail and discretionary under-perform. Paired with Nasdaq in a 4-day losing streak, a sentiment miss could trigger short-term momentum selling.

Catalyst 2 — Advance Goods Trade Balance, May 2026 (8:30 AM ET)

Context: May was the peak month of Strait of Hormuz disruption. Expect a widened deficit driven by higher import costs (elevated energy & supply-chain premiums) rather than demand strength.

→ **IF deficit narrows vs. April (e.g., < −\$90B):** Mildly positive. Signals importers rationally cut orders given supply shock; dollar firms slightly. Little direct QQQ impact (+0.1–0.2%), but removes a stagflation talking point.

→ **IF deficit widens sharply (e.g., > −\$115B):** Mildly negative. Could revive stagflation narrative: high inflation (PCE +4.1%) plus a widening trade gap. Most impactful for Industrials and Transports; QQQ relatively insulated but could see −0.2–0.3% as risk appetite fades.

Catalyst 3 — Apple/Microsoft Analyst Reaction & Follow-Through Selling

Context: 11 of 12 major bank analysts still carry Buy ratings on Apple as of today's close. Overnight notes and Friday morning will reveal whether sell-side defends price hikes as margin-positive or downgrades on demand risk.

→ **IF major downgrades hit (Goldman, JPMorgan cut Apple):** QQQ −0.8–1.2%. Apple continues to fall; Microsoft and Google re-rate lower on supply-cost concerns. Could push QQQ below its 50-day moving average—a technical trigger for momentum funds.

→ **IF sell-side defends (no cuts, price target holds):** Apple stabilizes or bounces 2–3%. QQQ recovers +0.3–0.6%. The price hike story flips: hardware ASP expansion improves gross margins, and Apple's pricing power in premium hardware is reaffirmed.

Catalyst 4 — Iran Peace Implementation: Tanker Traffic & Oil

Context: The June 18 framework is being implemented; Brent ~\$77.73/bbl. Any confirmed resumption of normal tanker flow through the Strait would be a significant deflationary catalyst.

→ **IF tanker traffic confirms resumption (satellite data, shipping reports):** Oil breaks below \$75/bbl. Inflation expectations compress; 10-year Treasury yield falls 3–5 bps. Rate-sensitive long-duration tech (i.e., QQQ mega-caps) benefits. QQQ +0.5–1.0%.

→ **IF peace deal setback or Iran re-escalation:** Oil spikes back above \$85/bbl. CPI/PCE path re-opens. Fed rate-cut window narrows. SPY −0.5–0.8%, QQQ −0.8–1.2%. Mega-cap growth most exposed as discount rates rise.

Data sources: S&P; 500 / Nasdaq Composite % changes via TheStreet markets live coverage (June 24–25, 2026). PCE data: BEA via CBS News. Micron earnings: TheStreet / Money Morning. Apple/Microsoft price hikes: Bloomberg / TechCrunch / CBC News. Iran / oil: Al Jazeera / KERA News. FOMC: Federal Reserve press release June 17, 2026. UMich sentiment: Trading Economics / FX Street. Trade balance: Kiplinger economic calendar. ETF prices derived from index % changes applied to prior-session CSV closes; direct API/financial site access blocked by proxy policy.

This report is for informational purposes only. Not investment advice. Generated automatically at 5 PM ET by the daily markets routine.